IT Department Budget Guidelines: Supplement

IT Budget Transfer Essentials

November 2026 Kickoff

Where This Document Fits

Supplements the IT Department Budget Guidelines only where the IT budget transfer needs it

Company-wide Budgeting Guidelines Company-wide	Company-wide budgeting rules. The IT budget transfer was decided here
IT Department Budget Guidelines GDS	GDS budgeting principles and operations
This document: Supplement (IT Budget Transfer Essentials) GDS teams	Transfer policy, approach and role template. Anything beyond the policy is agreed with each Function

Rules for using this document

- If this document conflicts with the Guidelines, the Guidelines prevail
- For GxP work, the SOPs and procedures set by Quality Assurance prevail. Use the roles in this document as a template
- Below this document: the charter, runbook and budget transfer sheet. Record agreements in the agreement document

What This Document Covers

Three things each team needs to know to carry out the budget transfer

1

Understand this term's goal

Transfer approval granted by end of December, and how to get there

2

Changes in roles after the transfer

Division of roles between the Functions and GDS (RACI)

3

IT asset management

Ownership of fixed assets and depreciation (held by GDS, which holds the budget)

This Term's Goal

This term we aim for approval by end of December. Creating value from the transfer will be considered next term

Premises

Decided as company-wide policy

- Decided by management and stated in the company-wide budgeting guidelines
- Covers all departments except Sales (incl. HR, GA and Finance). All have been informed
- Scope: budgets, contracts and admin work for business applications and related tools

Policy

Budgets fall into three groups by timing

Move together on Jan 1, 2027

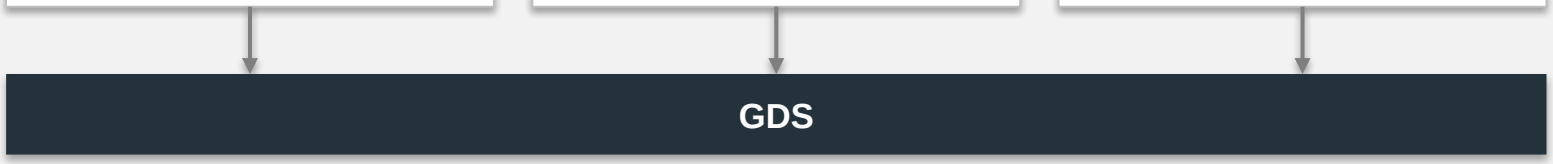
Operating expense budgets (maintenance, licenses, cloud fees, outsourcing)

Held by GDS from next FY

Budgets for IT investment projects starting next year

Timing agreed case by case

IT investment projects continuing from this year (acquired assets, CIP, started work). Confirm with Finance (slide 7)



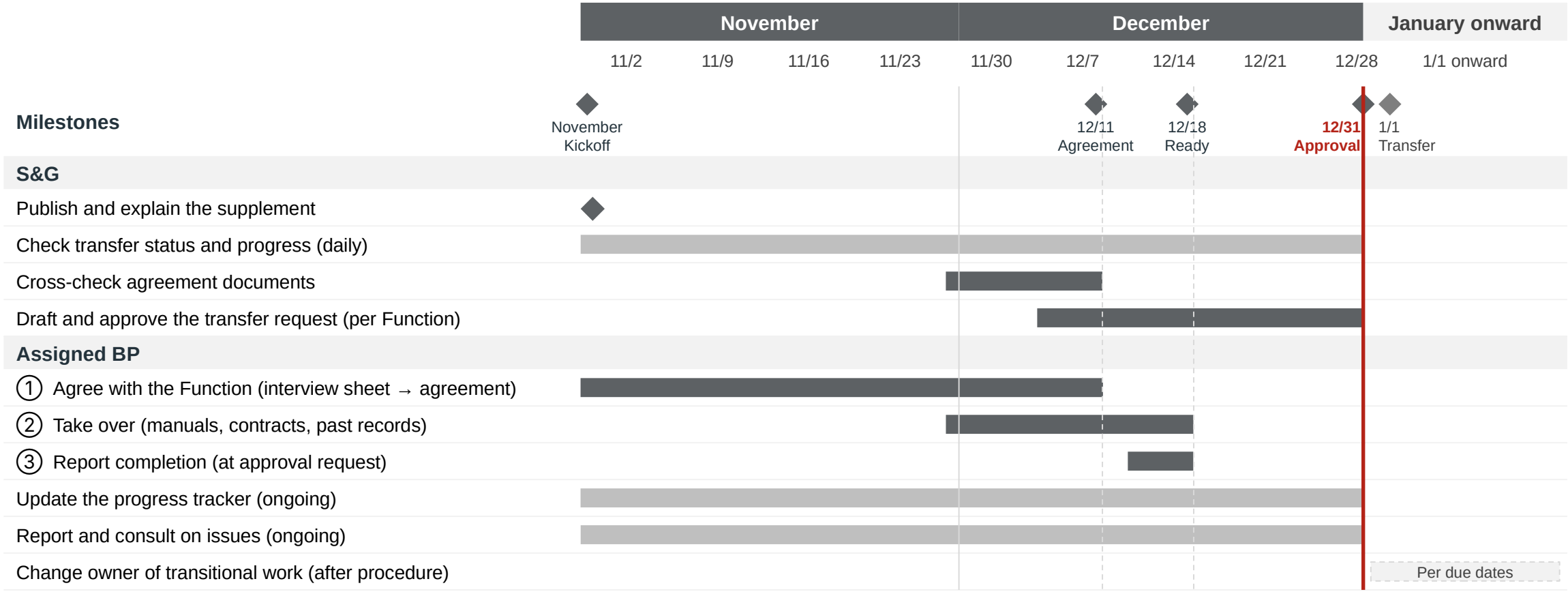
After the transfer, handle step by step

Transitional: Work needing a formal procedure to change owners (SOP revision, GxP change control) stays with the current owner until done. Record it and its due date in the agreement

Contracts: Signatory changes to GDS at next renewal. Notify suppliers of the new invoice addressee by early February

Goal: transfer approval granted by end of December

November–December Schedule (Indicative)



S&G: transfer approval is granted

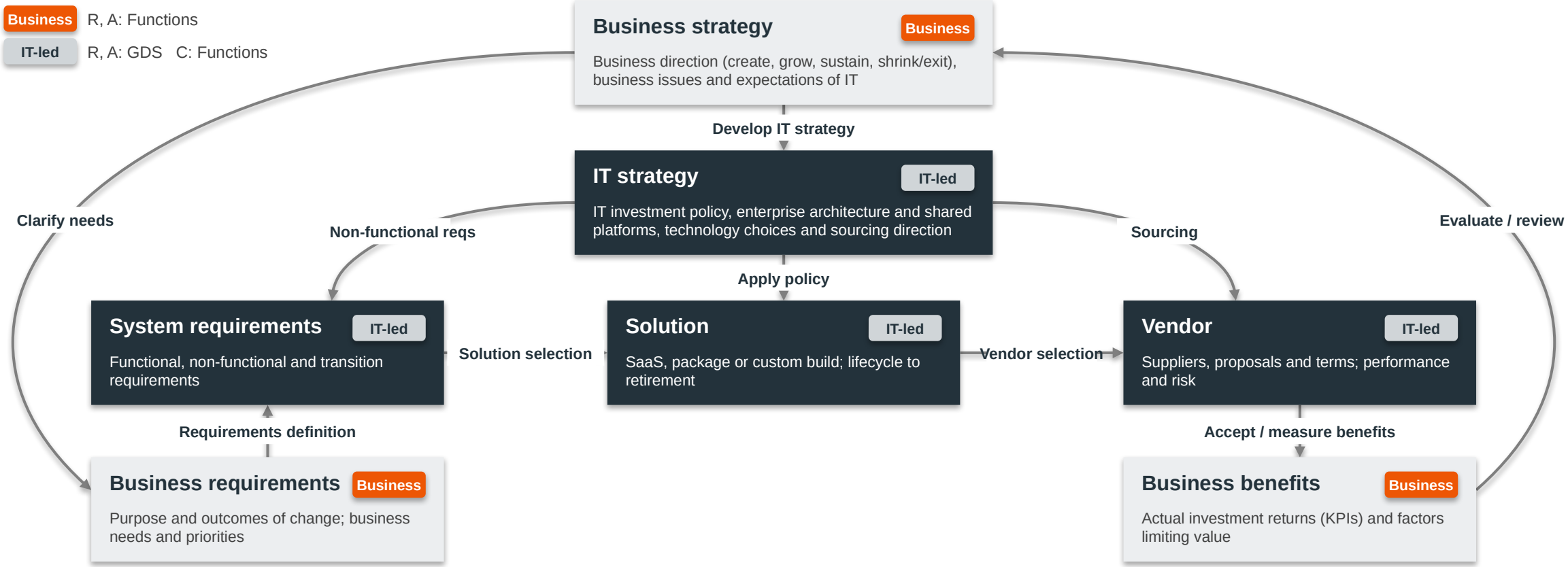
- ✓ Agreements and completion reports for all cases are in
- ✓ The progress tracker (transfer status) is up to date
- ✓ Approval information (budgets and contracts, next year's budget) is in order

Assigned BP: ready to start the work after the transfer

- ✓ An approved agreement (budgets and contracts, work to take over, reporting route, timing)
- ✓ Manuals, contracts and past records have been taken over
- ✓ GDS can manage contracts and pay from January

Roles After the Transfer (RACI)

In IT-led domains, GDS leads (R) and decides (A) with the Functions' advice (C)
Exception: systems specific to one Function with no impact on others



GDS management (A, R)

IT financial management

Budget planning and execution, cost visibility by Function and project, comparing investment benefits with costs

Contract management

Agreeing and revising terms for licenses, cloud, maintenance and outsourcing

Service quality management

Agreeing and monitoring service levels, validation, and change control (incl. GxP)

Fixed Assets Are Held by GDS, Which Holds the Budget

GDS also manages assets and depreciation; R&D and manufacturing costs are allocated to the benefiting Function

Type of IT investment	CIP	Fixed asset account (asset owner = bears depreciation)		
		Single Function	Shared (multiple)	Enterprise-wide
① **New business app (package, configured)**	GDS	GDS	GDS	N/A
② **Custom business app / add-on**	GDS	GDS	GDS	N/A
③ **Upgrade of existing asset (capex)**	GDS	GDS	GDS	GDS
④ **Perpetual software license**	None	GDS	GDS	GDS
⑤ **Hardware and equipment**	None	GDS	GDS	GDS
⑥ **Platforms and shared services (cloud, data)**	GDS	N/A	GDS	GDS (not in scope)

Assets held or in progress at the time of transfer

① Acquired assets

Capitalized at transfer, with depreciation started

② Construction in progress (CIP)

Recorded as CIP at transfer, to be capitalized next year

③ Started, not yet in CIP

Work started but nothing yet recorded as CIP

All move to GDS. Agree the timing with the transferring Function and confirm with Finance so the accounting is handled correctly

Next Actions (November)

After the kickoff, start with these three things

☐	Assigned BP	**Start agreeing with the transferring Function using the interview sheet**
☐	Assigned BP	**Fill in your row of the progress tracker so you can update the transfer status**
☐	Assigned BP	**List IT investment projects continuing from this year (acquired, CIP, started) and set up a check with Finance**

Final deadline: December 31 — transfer approval